



DEALER BEST PRACTICE SERIES

Building Operational Budgets

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1.0 Introduction

This Best Practice outlines a strategy for building operational budgets with the appropriate level of detail to facilitate contract performance review, highlighting problem areas.

Operating budgets generally cover operating expenses for normal operations. Operating expenses can be budgeted (planned for) and accounted for on a monthly, quarterly, and/or annual basis. Operating budgets are usually fixed through a process different from that used on capital budgets (in some companies, all management above a certain level participate in the process). Once fixed, budgets are usually not changed during the period-except maybe for emergency reductions following unexpectedly poor sales results or other disasters.

Operating budgets generally cover predictable, repeatable costs. Items bought under an expense budget" (as opposed to a capital budget) are not registered as capital assets and are not depreciated. That means the company charges the full amount against income during that reporting period, incurring all tax consequences for it during that period.

Caution should be observed building this type of budget. Too much detail is inefficient, requiring a great deal of data cleansing for administrative staff. It does not provide the benefits for this effort. Budgets that are too broad in scope do not deliver the level of detail required for analysis, which can result in positive direction for change.

Most Caterpillar dealers have the capability to create operational budgets, but few have a formalized process to review the budget performance. It is necessary to highlight the problem areas and establish action plans to mitigate the performance risks. This process provides tangible dealer benefits in the form of improved productivity and reducing overall operating costs, which leads to a reduced risk in MARC's and lower overall repair, and maintenance costs.

By implementing an operational budget, a dealer is able to see firsthand the areas that need improvement. Seeing the areas that need improvement will allow the dealer to make decisions to increase profitability and better performance.

2.0 Best Practice Description

There are two different approaches to budgeting. The first approach is referred to as the **behavior** approach. The underlying assumption of this approach is that managers will be the most highly motivated if budgets are reasonable and achievable. Targets of this approach can be achieved through reasonably efficient operations. With this approach, failure to stay within budget in contrast is viewed as unacceptable. The second approach is referred to as the **total quality** approach. The basic premise of this approach is that each segment of the operation strives to improve. Each operation strives to eliminate non-value added activities. With this approach, budget amounts are set to achieve absolute efficiency.

There also two different approaches for a time period when using operational budgets. The first approach is the **fiscal year** approach. The fiscal approach contains annual budgets that

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are divided monthly into four quarters. As the end of a quarter approaches, revisions are done for economic changes. This process ensures that the budgets are reviewed at least several times per year.

As the year progresses the planning process gets shorter. The second approach is referred to as the **rolling twelve-month** approach. With this approach a new month/quarter is added to the end of the budget as the quarter ends. The budget always covers the upcoming twelve-month period. The advantage of this approach is that this is a stabilized planning horizon. This approach consists of continuous review and assessment of the budget estimates.

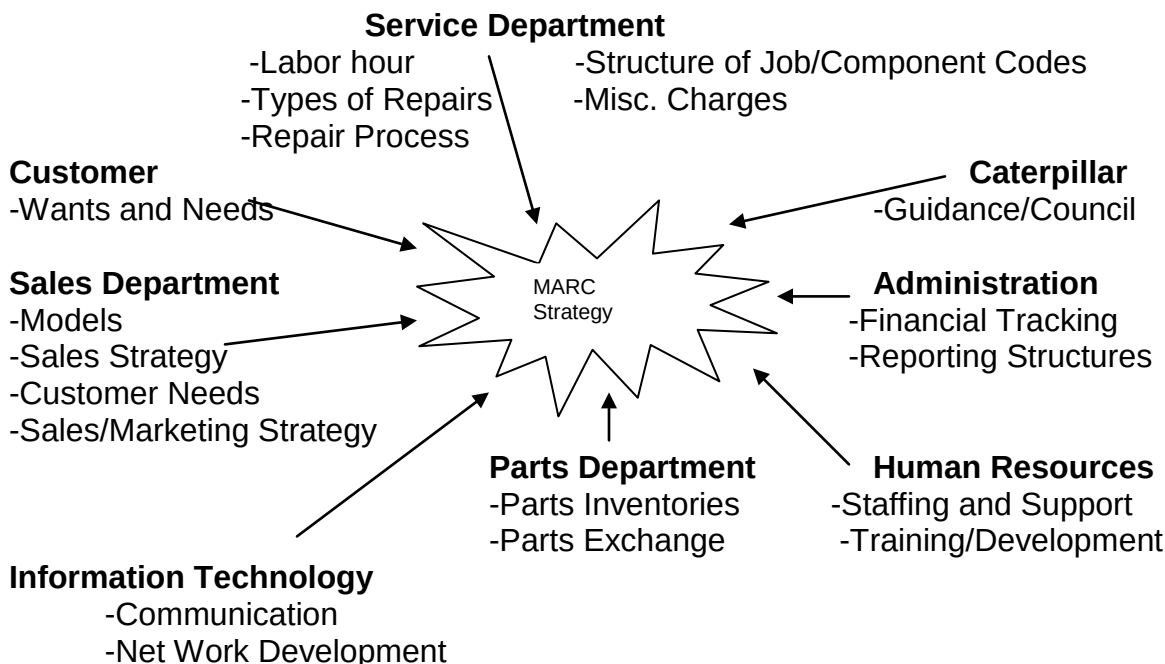
3.0 Implementation Steps

As a dealer gains contract experience, the use of historical data becomes the best source of information when populating the budget amounts.

For dealers with first time projects, the proposal can go back to the team and then to the most experience members of the dealership to populate the budget amounts. The dealer may also go to other dealers with existing operations for assistance with the first time project.

All areas of the business become involved in the development of an operational budget. From the sales department, parts department, to IT, all aspects of the business become a part of the budgetary strategy.

*This figure illustrates how input from all areas of the business makes this strategy work



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An individual or team entity acting as a single point of contact should be appointed to be responsible for following and managing a budget after it has been implemented.

See the files attached to this document, which contain examples of budgets that can be used for site and analyzer application.

4.0 Benefits

- Enhanced management responsibility
 - o Causes a manager to consider all aspects of the operation.
- Decision making responsibilities over company resources.
 - o Management is forewarned of issues real time.
 - o Holds employees accountable for the results of their decisions.
- Coordination of Activities
 - o Preparation and communication across departments provides another department quantitative terms of what is expected during a period.
- Cross check the critical assumptions
 - o Rate development process.
- Performance Evaluation
 - o Budget provide a yard stick with each department measured.
 - o A cross check to rate development critical assumptions.
 - o Provides a clear line of site to provision requirements.

5.0 Resources Required

The project manager has the single biggest impact on the profitability of a contract in terms of budget performance. The project manger must coordinate the use of resources through planning and organizing. The project manager must also possess the ultimate responsibility as a decision maker.

With budget performance, the work order technician has the next biggest impact on the profitability of a contract. The work order technician must coordinate costs through planning and organizing, and posses a high level of responsibility as decision maker.

6.0 Supporting Attachments / References

The attached files detail and outline the features and benefits of operational budgets for the site application.

Building Operational Budgets.ppt
Mine Site Budget 2.xls

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7.0 Related Best Practices

0907-3.3-1086 *Localizing a Centerline Builder File for MARC Rate Development*

Building operational budgets – Analyzer element requires the implementation of the Best Practice listed above. This implementation will ensure the budgets created and used in Analyzer will match the product sold by the dealer and delivered to the site.

8.0 Acknowledgements

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